

PROFESSIONAL DEFINITION

The Robo-Advisory Stack layers the components of automated investment advice — client profiling, portfolio allocation, execution and rebalancing — showing how AI automates the advisory process.

WHO DEVELOPED IT

A construct from wealth-management practice as robo-advisers such as Betterment and Wealthfront emerged.

WHY IT WAS DEVELOPED

It was developed to clarify how automated advice is assembled and where human judgment and AI each contribute.

FIGURE 1 · ROBO-ADVISORY STACK

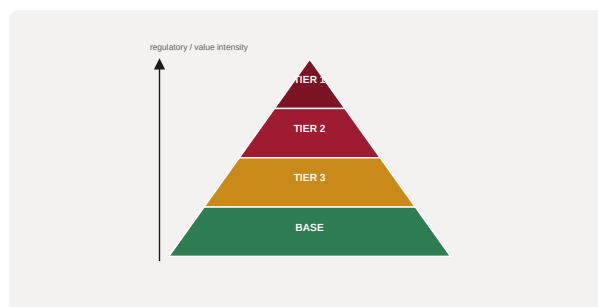


Figure 1. A schematic of the Robo-Advisory Stack as applied in BARBM312 (illustrative).

HOW IT IS USED

Each layer is examined for automation and oversight; the stack guides design and governance of automated advice.

WHEN IT IS USED

When designing or assessing automated and hybrid advisory services.

BY WHOM IT IS USED

Wealth-management, product and compliance leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It decomposes automated advice into governable layers, clarifying where AI adds value and where fiduciary judgment remains.

RELATED FRAMEWORKS IN THIS COURSE

Fintech Disruption Map · Slibrary 22

ML Adoption Curve (Investing) · Slibrary 22

Alt-Data Pyramid · Slibrary 22

Blockchain Instrument Map · Slibrary 22

SOURCES (HARVARD REFERENCING STYLE)

Philippon, T. (2019) 'On fintech and financial inclusion', NBER Working Paper 26330.

D'Acunto, F., Prabhala, N. and Rossi, A.G. (2019) 'The promises and pitfalls of robo-advising', Review of Financial Studies, 32(5).